ver coins. The habits of a long prosperity have bred the conviction that asset values always appreciate: They don't. Well-intended academics have contended that a well-diversified portfolio of high-yield bonds will always outperform a portfolio of government bonds: It won't. Five years of easy money have popularized the balmy idea that you can always get a loan: As Integrated Resources unexpectedly showed, sometimes you can't.

As Milken understood, easy access to credit facilitates the marginal transaction. It makes possible the sale of the *n*th product to the *n*th buyer. It enlarges the gross national product, expands the debt industry and creates the rationale for a future relaxation of lending standards.

But when the cycle turns, the process must swing into reverse. Marginal transactions, financed by debt, must be unwound through foreclosure or bankruptcy. Asset values, propped up by debt, must fall, and thereby reduce other asset values in a chain reaction—in a generalized process similar to what is now happening to Arizona real estate. The staple idea of junk bond finance—that corporate assets can always be sold, or debt advantageously refinanced—must be discredited.

As Milken understood, easy access to credit facilitates the marginal transaction.

On form, the reaction will be too severe. Lenders will become too conservative, and respected financial leaders will try to show that two plus two makes three. Junk bond prices will go down too far, and the debt industry will be tarred and feathered.

The composition of the Forbes Four Hundred will undergo sudden change. A pair of wings in the boom debt will prove a ton of bricks in the slump. The new rich will be the people with cash and courage. There will be fewer